

FROM THE ARCHIVES
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Cover Story
War of the Wheels

It hasn't come down to name calling. Just naming names. Daewoo means Great Universe and its dinky Matiz is being pitched as the car that will conquer it. Hyundai doesn't mean much these days beyond a beleaguered mega corporation but this other Korean giant's Shah Rukh Khan-blessed small car, Santro, is supposed to be so hot that it sizzles. Suzuki is a name riding on Maruti, the Indian god of speed, with a mantra of mass appeal and a reconfigured 800 cc model and reconceived Zen, deluxe, diesel and all. And Indica, with the pride and prestige of an entire nation riding on it—and certainly parent Telco's bottomline—is potentially the biggest threat to Maruti's stranglehold.

–Robin Abreu and Shefali Rekhi

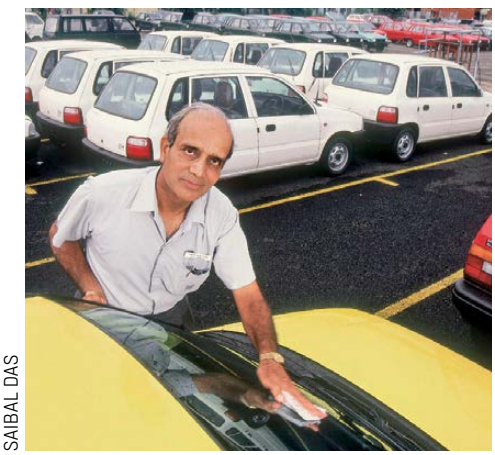
SHIFTING GEARS

» The Maruti 800 revolutionised car ownership in India, making mobility a necessity rather than a luxury

» Liberalisation opened the auto sector to competition, bringing in numerous MNCs

» Passenger vehicle sales in India soared from just over 30,000 units in 1980 to 4.23 million units in FY24

» India is now the world's third-largest automobile market, trailing only China and the US. It also ranks as the fourth-largest producer of light vehicles globally



SAIBAL DAS

"At that time [when Maruti was launched in 1983], no one would believe the car would be a success in India. Some called it a 'toy car'"

— R.C. BHARGAVA
Chairman, Maruti Suzuki

672,105
UNITS

Passenger vehicles exported from India in FY24, of which Maruti Suzuki's share was 280,712 and Hyundai Motor's 163,155 units

DID YOU KNOW?

Maruti sold over 2 million vehicles in 2023, crossing that milestone for the first time

Suzuki got there first.

With Maruti showing the way, the automotive sector in India shifted into the highest gear. Eight years after Maruti was set up, Manmohan Singh liberalised the economy, allowing 100 per cent FDI in the auto industry. There was no looking back. For car manufacturers, there could not be a better untapped market than India; for Indians, new technology and models opened up choice like never before. Mercedes-Benz, General Motors, Toyota, Ford, Skoda and Volkswagen lined up to grab a slice of the pie. From just over 30,000 cars in 1980, India saw passenger vehicles sales surge to 4.23 million units in FY24. The country produced 23.28 million vehicles overall, including passenger and commercial vehicles, as well as two-wheelers. Utility vehicles are the reigning obsession, their sales overtaking those of hatchbacks, favourites for several decades.

What the Maruti 800 did for the four-wheeler, the 100cc bikes from Hero Honda, Kawasaki Bajaj, Ind-Suzuki (born of a tie-up between TVS Motor and Suzuki) and Yamaha did for two-wheelers. It was a fast forward from the era of the scooter and the moped, a show led by Bajaj Auto and TVS. India is now the world's largest two-wheeler market, selling 18 million units in FY24. ■